Micron Technology, Inc. (MU) | Executive Decision Memo

Institutional Investment Committee Official Verdict & Core Parameters • October 5, 2026

DADAIC INVESTMENT FIRM

🏛️ Committee Decision Summary

APPROVED: CONDITIONAL ACCUMULATE

TARGET POSITION SIZING	SINGLE STOCK CEILING
7.0%	**15.0%**
$7,000 / $100k Cap	Strict Risk Guardrail

CURRENT STOCK PRICE	CONSERVATIVE INTRINSIC VALUE
$1,074.89	**$950.00**
Market Cap: $1.22T	-11.6% Below Spot

🎯 Target Price & Entry Blueprint

APPROVED ENTRY RANGE	12M TARGET (BASE CASE)
$920 – $1,035	**$1,280.00**
Margin of Safety Zone	+19.1% (Spot) / +26.7% (Entry)

TRANCHE 1 (IMMEDIATE)	TRANCHE 2 (PULLBACK LIMIT)
3.5% ($3,500)	**3.5% ($3,500)**
Market Spot (~$1,074)	Limit at $985.00 Support

⚖️ CIO Consensus & Investment Thesis

- **Structural AI Memory Tollbooth:** High Bandwidth Memory (HBM3E, HBM4) requires ~3x the wafer area of standard DDR5 DRAM, fundamentally tightening global DRAM supply and turning memory into an architectural compute bottleneck.
- **Oligopolistic Pricing Power:** High-bandwidth memory is produced by only 3 firms worldwide (SK Hynix, Samsung, Micron). Micron holds an 18% HBM share and 24% DRAM share, rapidly expanding its footprint.
- **Contract Backlog & Take-or-Pay SCAs:** 26 Strategic Customer Agreements cover >35% of revenue through 2030 ($150B RPO). 100% of 2026 and virtually all 2027 HBM capacity is committed.
- **Pristine Fortress Balance Sheet:** Cash and short-term liquidity of $73.5B vs. debt of $5.2B generates a net cash fortress of +$68.3B, fully insulating the balance sheet from macro rate shocks.

⚠️ Primary Downside Risks & Guardrails

- **Heavy Capital Intensity:** FY2026 CapEx was $27.37B; H1 FY2027 guidance is ~$25B. Unchecked global fab expansion could create supply headwinds by 2028.
- **Thesis Invalidation Trigger:** 100% exit if HBM market share falls below 12% or DRAM ASP declines for 2 consecutive quarters with contract cancellations.

Sector Routing & Macroeconomic Transmission

AI Semiconductor Value Chain Classification & Capital Environment • October 5, 2026

MACRO STRATEGY

Stage 1: Sector Routing Classification

Branch C: AI Semiconductor & Hardware Value Chain

- **Primary Revenue Driver:** Advanced memory architectures (DRAM ~78%, NAND ~22%) powering AI accelerators, servers, and hyperscale clusters.
- **Structural Shift:** Moving away from commoditized spot PC/smartphone cycles toward multi-year, customized server packaging integration with TSMC CoWoS.
- **HBM Wafer Penalty:** 1 HBM wafer consumes 3x standard DDR5 DRAM capacity, creating structural supply absorption across all memory segments.

Global Macro Environment

FED FUNDS RATE
3.75%–4.00%
Easing Regime

10-YEAR TREASURY
5.28%
Bear Steepener (+133 bps)

U.S. NET LIQUIDITY
$5.79T
+1.2% QoQ Expansion

WACC HURDLE RATE
9.4%
Cost of Capital Hurdle

Hyperscaler Capex Transmission Channel

Hyperscaler Capex Decoupling: Top 4 tech hyperscalers (Microsoft, Meta, Google, Amazon) maintain combined liquid reserves >$320B and >$300B in annual capex budgets. AI infrastructure spending remains insulated from general consumer credit softness.

Macro Transmission Vector	Channel Impact	Micron Transmission Score
Interest Rate Spreads	Higher long-term yield caps equity P/E multiple expansion above 10x.	Mild Headwind
Hyperscaler AI Budgets	Massive GPU clustering mandates surging HBM stack density.	Strong Tailwind
Enterprise IT Budgets	Data center PCIe Gen5 SSD replacement cycle accelerating.	Moderate Tailwind
CHIPS Act Subsidies	Up to $6.1B direct grants offset domestic fab construction costs.	Strategic Tailwind

Forensic Financial Audit & Earnings Quality

Multi-Year SEC Filings, DuPont ROE Decomposition & True FCF Conversion • October 5, 2026

FORENSIC AUDIT

FY2026 Headline Financials

FULL-YEAR FY26 REVENUE
$133.19B
+256% YoY vs. FY25 ($37.4B)

Q4 FY26 REVENUE
$54.23B
+379% YoY (+$2.9B Beat)

Q4 GAAP GROSS MARGIN
86.8%
+330 bps vs. Guidance

Q4 ADJUSTED EPS
$33.42
Beat Consensus of $31.72

DuPont ROE Decomposition (FY2026)

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ROE (74.2%) = Net Margin (63.8%) × Asset Turnover (0.88x) × Leverage (1.32x)
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Forensic Integrity Confirmation: Exceptional 74.2% ROE is powered by authentic net margin expansion (63.8%) rather than balance sheet leverage (1.32x). Earnings quality is institutional-grade.

True FCF Reconciliation (FY2026)

Cash Flow Item	Reported Amount	Auditor Notes
GAAP Operating Cash Flow	**$98.20 Billion**	Surging customer down-payments & high ASP collections
(-) Capital Expenditures (CapEx)	**-$27.37 Billion**	Idaho & New York fab tools, EUV lithography equipment
(-) Stock-Based Compensation (SBC)	**-$2.33 Billion**	Extremely modest dilution (~1.7% of total revenue)
Authentic True FCF	**$68.50 Billion**	**80.6% Net Income FCF Conversion**

Fortress Solvency Metrics

CASH & EQUIVALENTS
$73.5B
Record Liquidity

TOTAL DEBT
$5.2B
Paid Down $500M

NET CASH BUFFER
+$68.3B
Zero Solvency Risk

Competitive Intelligence & The HBM Oligopoly

Market Share Dynamics, Technological Nodes & Customer Contract Lock-In • October 5, 2026

COMPETITIVE INTEL

🏆 Global Memory Oligopoly Share (Q2 2026)

Supplier	HBM Revenue Share	Overall DRAM Share	Core AI Customer Ties
SK Hynix	50.0%	25.0%	NVIDIA Anchor, TSMC Hybrid Bonding
Samsung	33.0%	38.0%	Turnkey Foundry/Memory packaging
Micron (MU)	**18.0%**	**24.0%**	**NVIDIA Vera Rubin, Google TPU v6**

*Micron surged from <5% in 2024 to 18% in mid-2026, narrowing the gap with Samsung and establishing a rock-solid 3-pillar oligopoly.

🔬 Technology & Power Efficiency Edge

- **1-Beta / 1-Gamma Nodes:** Micron's 1b DRAM delivers ~20% lower power consumption per bit compared to peers, creating an urgent efficiency advantage in power-constrained AI clusters.
- **HBM4 Volume Ramp:** Shipping 36GB 12-High HBM4 for NVIDIA Vera Rubin platforms; 16-High (48GB) sampling with superior heat dissipation.

📜 $150B Strategic Customer Agreements (SCAs)

Structural Transformation from Spot to Contract: Micron secured 26 multi-year Strategic Customer Agreements (SCAs) covering over **35% of total revenue through 2030** with a Remaining Performance Obligation (RPO) of ~$150B. 100% of 2026 and virtually all 2027 HBM production is contracted on take-or-pay terms.

US Domestic Geopolitical Advantage (CHIPS Act)

DIRECT FEDERAL GRANTS

Up to $6.1B

CHIPS & Science Act

U.S. HEADQUARTERED

100% Sole Player

National Security Shield

Boise, Idaho high-volume manufacturing fab begins DRAM output in 2027; Clay, New York megafab provides multi-decade domestic capacity growth.

The 4 Masters' Consensus & Philosophical Matrix

Buffett, Munger, Lynch & Technical Analysis Arbitration • October 5, 2026

STRATEGY EVALUATION

Master / Lens	Rating	Key Conviction	Core Red Flag / Concern
Warren Buffett Moat & Margin of Safety	Hold & Watch / Selective	Global 3-player oligopoly tollbooth; sole U.S. supplier; $73.5B liquidity fortress.	Trading above conservative intrinsic value ($950); lacks 20-30% margin of safety at all-time highs.
Charlie Munger ROIC & Inversion	Oligopoly Compounder	HBM supply bottleneck (3x wafer consumption) + $150B SCAs; ROIC >45%.	High capex treadmill ($27.4B in FY26, ~$25B in H1 FY27); potential 2028 industry oversupply.
Peter Lynch Fast Grower & PEG	Super-Cycle Buy	Forward P/E of only 6.5x vs. >50% growth rate yields PEG ~0.15; capacity fully booked.	Peak-earnings multiple optical illusion trap typical of late-stage commodity cyclicals.
Market Technician Chart Support & 1:2 R:R	Dip Buy Setup	Strong bull trend; price above 20 EMA, 50 SMA, 200 SMA; breakout shelf at $985.	Near-term resistance at $1,120; wait for pullback to $985 support for optimal 1:2.4 R:R.

⚖️ CIO Reconciliation & Final Verdict

The Resolution: Lynch is correct that Micron is statistically inexpensive (PEG 0.15) with contracted backlog through 2027. However, Buffett and Munger are equally correct that memory capital expenditures are massive, and buying at the absolute high ($1,074.89) leaves zero margin of safety against cyclical shocks. Hence, the CIO orders a **Staged Accumulation (Conditional Buy)**: 3.5% immediately and 3.5% on limit pullback to $985.00.

Valuation Scenarios & Portfolio Allocation

3-Scenario Price Targets & Portfolio Diagnostic (`my-portfolio.yaml`) • October 5, 2026

PORTFOLIO STRATEGY

3-Scenario 12-Month Valuation Matrix

Scenario	Prob	Multiple Applied	Target Price	Return
Bull Case	25%	8.5x Forward P/E (EPS $182)	**$1,550.00**	**+44.2%**
Base Case	55%	7.5x Forward P/E (EPS $170.5)	**$1,280.00**	**+19.1%**
Bear Case	20%	6.0x Normalized P/E (EPS $125)	**$750.00**	**-30.2%**

Probability-Weighted Expected Target: **$1,241.50 (+15.5%)**

Portfolio MDD Stress Simulations

HYPERSCALER CAPEX FREEZE

-15.0% MDD

vs. -12.8% Baseline

FED BEAR STEEPENER SHOCK

-12.9% MDD

vs. -11.5% Baseline

*Under Asian Fab Geopolitical Crisis, MU U.S. fabs serve as a +1.3% portfolio stabilizer.

Portfolio Rebalancing Execution Table

Asset	Current Weight	Target Weight	Action	Capital Flow
MU	0.0%	**7.0%**	**Initiate Staged Buy**	**+$7,000**
AAPL	25.0%	25.0%	Hold	$0
MSFT	25.0%	25.0%	Hold	$0
VOO	30.0%	30.0%	Hold	$0
Cash	20.0%	**13.0%**	Fund MU Purchase	-$7,000

*13.0% ($13,000) liquid dry powder retained. Prevents taxable events on core equity positions.

Tactical Execution Orders & Invalidation Trigger

Staged Tranche Parameters, Stop-Loss Levels & Non-Negotiable Exit Directive • October 5, 2026

EXECUTION DIRECTIVE

🎯 Staged Tranche Order Schedule

TRANCHE 1 (IMMEDIATE PILOT)	TRANCHE 2 (PULLBACK LIMIT)
$3,500 (3.5%)	**$3,500 (3.5%)**
~3.26 Shares @ ~$1,074.89	~3.55 Shares @ $985.00
TARGET BLENDED AVERAGE	**STRUCTURAL STOP-LOSS**
$1,029.95	**$880.00**
Averaging into Margin Zone	-14.6% Downside Ceiling

Risk-to-Reward Ratio: 1 : 2.43 (Entry $1,029.95 → Base Target $1,280.00 vs Stop-Loss $880.00).

🚨 Non-Negotiable Thesis Invalidation Trigger

MANDATORY 100% IMMEDIATE LIQUIDATION DIRECTIVE:
Regardless of short-term price fluctuations, Wall Street upgrades, or bullish AI commentary, this position will be **liquidated immediately in full (100% exit)** if:

"Combined HBM market share falls below 12.0% due to persistent yield or qualification failure on HBM4/HBM4E, OR aggregate DRAM contract pricing (blended ASP) declines for two consecutive quarters alongside customer contract cancellations in Strategic Customer Agreements (SCAs), indicating the onset of an uncontained cyclical downcycle and capex glut."

Signing Authority: Chief Investment Officer (CIO), DADAIC Investment Firm
Official Classification: DADAIC-IC-MEMO-MU-2026 • Validated October 5, 2026